

RESPONSIBILITY STATEMENT OF MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER

The Financial Statements of LB Finance PLC (the Company) and the Consolidated Financial Statements of the Company and its Group Companies (the Group) as of 31 March 2024 are prepared and presented in compliance with the following regulatory requirements:

- I. Sri Lanka Accounting Standards (SLFRS/ LKAS) issued by The Institute of Chartered Accountants of Sri Lanka
- II. Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- III. Statements of Alternative Treatments (SoAT) on Accounting issued by The Institute of Chartered Accountants of SL
- IV. Companies Act No. 7 of 2007
- V. Finance Business Act No. 42 of 2011
- VI. Finance Leasing Act No. 56 of 2000
- VII. Directions, circulars and guidelines issued to licensed Finance Companies by the Central Bank of Sri Lanka.
- VIII. Listing Rules of the Colombo Stock Exchange (as amended)
- IX. The Code of Best Practice on Corporate Governance issued jointly by The Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka (2023)

The formats used in the preparation of financial statements and disclosures made in this Annual report and interim financial statements comply with the specified formats described by the Central Bank of Sri Lanka.

The Company presents the financial results to its shareholders every quarter.

The Group has consistently applied the material accounting policies. The Accounting Policies of the Company and the Group are in compliance with Sri Lanka Accounting Standards (SLFRS/ LKAS) issued by The Institute of Chartered Accountants of Sri Lanka.

Significant Accounting Policies and estimates that involve a high degree of judgment and complexity were discussed with the Board Audit Committee and the External Auditors. Comparative

information has been reclassified wherever necessary to comply with the current

year's presentation. All significant items have been disclosed and explained through Notes to the Financial Statements. We confirm to the best of our knowledge, that the Financial Statements presented herewith give a true and fair view of the financial position, Statement of Profit or Loss and the cash flows of the Company and the Group for the year. Furthermore, we believe that the Company and the Group have adequate resources to continue its operations in the foreseeable future and accordingly adopt the going concern basis for the preparation of the Financial Statements.

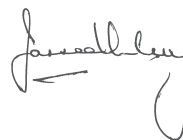
The Board of Directors and the Management of the Company and the Group accept responsibility for the integrity and the objectivity of the Financial Statements. The estimates and judgments relating to the Financial Statements were made on a reasonable and prudent basis; so that the Financial Statements reflect a true and fair view; the form and the substance of transactions and that the state of affairs of the Company and the Group is reasonably presented. To ensure this, the Company and the Group have taken proper and sufficient care in implementing internal control systems, with the use of a comprehensive core banking system, for safeguarding assets and for preventing and detecting fraud as well as other irregularities, which is reviewed, evaluated, and updated on an ongoing basis. The Internal Auditor of the Company and the Group has conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Company and the Group are consistently followed. However, there are inherent limitations that should be recognised in weighing the assurance provided by any system of internal control and accounting.

The Financial Statements of the Company and the Group were audited by Messrs. Ernst & Young, Chartered Accountants. The Report issued by them is available on page 235 of the Annual Report. The audit and non-audit services provided by Messrs. Ernst & Young are approved by the Board Audit Committee in line with the relevant audit policy or impair

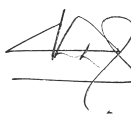
Messrs. Ernst & Young's independence. The Board Audit Committee reviews the adequacy and the effectiveness of the Internal Control Systems including the effectiveness of the internal controls over financial reporting. This review ensures that all transactions are accurately and completely recorded in the books of account and that compliance with Sri Lanka Accounting Standards (SLFRS/LKAS) and other regulatory provisions relating to financial reporting and disclosures is maintained. The Board Audit Committee Report is available on pages 188 to 191. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Board Audit Committee to discuss any matter of substance.

We confirm to the best of our knowledge that,

- The Company and the Group have complied with all applicable laws, rules, regulations and guidelines;
- There is no material non-compliance;
- There is no material litigation against the Company and the Group other than those disclosed in Note 3.5.4 on page 325 of the Financial Statements section of Annual Report;
- All taxes, duties, levies and all statutory payments by the Company and the Group and all contributions, levies and taxes payable on behalf of and in respect of the employees of the Company and the Group as at the reporting date have been paid, or where relevant provided for.



Sumith Adhietty
Managing Director



Malith Hewage
Chief Financial Officer

27 May 2024